UNIT: Introduction to Electronic Commerce (Detailed Notes)

1. Introduction to E-Commerce

Meaning of E-Commerce

Electronic Commerce (E-Commerce) refers to the process of buying, selling, transferring, or exchanging products, services, and information through electronic networks such as the Internet.

In simple words, when business activities are performed online using computers, mobile phones, or the Internet, it is called E-Commerce.

Examples:

- Online shopping
- Online banking
- Mobile recharge
- Online ticket booking
- Online food delivery
- Digital payments

Features of E-Commerce

1. **Internet Based** – Transactions happen through the Internet.
2. **Global Reach** – Customers from all over the world can access services.
3. **24×7 Availability** – Services are available anytime.
4. **Electronic Transactions** – Payments and communication are digital.
5. **Fast Communication** – Information transfer is very quick.
6. **Paperless System** – Less paperwork is required.

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2. Traditional Commerce vs E-Commerce

Basis	Traditional Commerce	E-Commerce
Nature	Physical buying/selling	Online buying/selling
Interaction	Face-to-face	Electronic communication
Market Reach	Local or limited	Worldwide
Time Availability	Fixed business hours	24×7
Cost	High operating cost	Lower cost

Basis	Traditional Commerce	E-Commerce
Speed	Slow process	Fast process
Paperwork	More paperwork	Minimal paperwork
Delivery	Immediate physical delivery	Delivery takes time
Payment	Cash/Cheque	Online payment

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3. Advantages of E-Commerce

E-Commerce provides benefits to both customers and businesses.

Advantages to Customers

(1) Convenience

Customers can shop anytime and anywhere.

(2) Time Saving

No need to visit physical stores.

(3) Wide Choice

Large number of products available online.

(4) Price Comparison

Customers can compare prices easily.

(5) Home Delivery

Products are delivered to the customer’s location.

(6) Easy Payment

UPI, cards, net banking, wallets etc.

Advantages to Businesses

(1) Global Market

Business can sell products worldwide.

(2) Reduced Cost

Less investment in physical stores.

(3) Better Customer Service

Quick response through email/chat support.

(4) Increased Sales

More customers can access products.

(5) Faster Business Transactions

Orders and payments are processed quickly.

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4. Disadvantages of E-Commerce

(1) Security Problems

Risk of hacking and online fraud.

(2) No Physical Inspection

Customers cannot touch or test products before purchase.

(3) Internet Dependency

Without Internet, E-Commerce cannot work.

(4) Technical Issues

Website/server failures may occur.

(5) Delivery Delay

Products may take time to reach customers.

(6) Privacy Concerns

Personal data may be misused.

(7) Lack of Personal Interaction

No direct human communication.

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5. Impact of E-Commerce

E-Commerce has changed business, society, and economy significantly.

Positive Impact

(1) Growth of Online Business

Many companies now operate digitally.

(2) Globalization

Businesses can reach international customers.

(3) Faster Communication

Information transfer is very quick.

(4) Employment Opportunities

New jobs in IT, delivery, digital marketing etc.

(5) Better Customer Experience

Easy ordering and payment systems.

Negative Impact

(1) Increase in Cybercrime

Online fraud and hacking have increased.

(2) Reduction of Traditional Shops

Small offline shops face competition.

(3) Job Reduction in Some Areas

Automation reduces manual work.

(4) Technology Dependence

Business depends heavily on systems and Internet.

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6. Classification of E-Commerce

E-Commerce is classified according to the participants involved.

(A) Business to Business (B2B)

Business transactions between one company and another company.

Features:

- Large quantity transactions
- Long-term business relationships

Example:

Manufacturer selling goods to wholesaler.

(B) Business to Consumer (B2C)

Business sells products/services directly to customers.

Features:

- Most common type
- Online retail shopping

Example:

Amazon, Flipkart

(C) Consumer to Consumer (C2C)

Consumers sell products/services to other consumers.

Features:

- Used goods selling
- Online marketplaces

Example:

OLX, eBay

(D) Consumer to Business (C2B)

Consumers provide value to businesses.

Example:

Freelancers providing services to companies.

(E) Government to Citizen (G2C)

Government provides online services to citizens.

Example:

Online tax payment, Aadhaar services, electricity bill payment.

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7. Applications of E-Commerce

E-Commerce is used in many areas.

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(1) Online Shopping

Buying products online.

(2) Online Banking

Money transfer, account management.

(3) Online Ticket Booking

Railway, bus, movie, airline booking.

(4) Online Education

Digital classes and courses.

(5) Online Auctions

Products sold through bidding systems.

(6) Digital Marketing

Advertising products online.

(7) Supply Chain Management

Managing product movement digitally.

(8) Electronic Payment Systems

UPI, wallets, net banking.

(9) Entertainment Services

OTT subscriptions, music streaming.

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8. Limitations of E-Commerce

(1) High Initial Setup Cost

Website and technology setup require investment.

(2) Security Risks

Cyber attacks and fraud.

(3) Lack of Trust

Customers may hesitate to buy online.

(4) Legal Issues

Different countries have different rules.

(5) Technical Knowledge Needed

Users must know basic technology.

(6) Delivery Problems

Late delivery or damaged products.

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9. Emerging Trends in E-Commerce

New technologies are changing E-Commerce rapidly.

(A) Mobile Commerce (M-Commerce)

Buying and selling using smartphones/mobile apps.

Example:

Shopping apps.

(B) Social Commerce

Selling through social media platforms.

Example:

Instagram shops, Facebook marketplace.

(C) Artificial Intelligence (AI)

AI helps in:

- Chatbots
- Product recommendations
- Customer support

(D) Digital Wallets and UPI

Fast and secure cashless payments.

Example:

PhonePe, Google Pay, Paytm.

(E) Cloud Computing

Online data storage and business management.

(F) Voice Commerce

Shopping using voice assistants.

Example:

Alexa, Google Assistant.

(G) Augmented Reality (AR)

Allows customers to virtually try products.

Example:

Virtual furniture placement.

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10. Electronic Commerce Business Models

Business model means the method used by a company to earn revenue online.

(A) Native Content Based Model

Businesses create original digital content.

Features:

- Internet-based content
- Revenue through ads/subscriptions

Examples:

Blogs, YouTube channels, online news portals.

(B) Transplanted Content Model

Traditional content converted into digital form.

Features:

- Offline content shifted online

Examples:

Newspapers providing e-paper versions.

(C) Native Transaction Model

Businesses fully operate online.

Features:

- Online ordering
- Online payment
- Online delivery system

Examples:

Amazon, Flipkart.

(D) Transplanted Transaction Model

Traditional businesses extend operations online.

Features:

- Offline + online presence

Examples:

Retail stores starting online shopping services.

Difference Between Native and Transplanted Models

Basis	Native Model	Transplanted Model
Origin	Started online	Started offline
Operation	Fully digital	Traditional + digital
Example	Amazon	Retail shops with websites

Important Exam Questions

Short Questions

1. Define E-Commerce.
2. What is B2B E-Commerce?
3. What is M-Commerce?
4. Define Native Transaction Model.
5. List applications of E-Commerce.

Long Questions

1. Explain advantages and disadvantages of E-Commerce.
2. Differentiate Traditional Commerce and E-Commerce.
3. Explain classification of E-Commerce.
4. Discuss emerging trends in E-Commerce.
5. Explain different E-Commerce business models.

One-Line Revision Notes

- E-Commerce = Online business transactions.
- B2B = Business ↔ Business
- B2C = Business ↔ Customer
- C2C = Customer ↔ Customer
- C2B = Customer ↔ Business

- G2C = Government ↔ Citizen
- M-Commerce = Mobile based commerce.
- Native Model = Started online.
- Transplanted Model = Offline business shifted online.